European domination. A second peak was reached in about 1900 AD when about half the earth's surface and a third of its population were colonial possessions. By that time England had the highest colonial possessions; second was France, and Germany held the third position.

This experience of colonialism was not an uncommon feature in history, because colonialism goes back to the ancient world. Great colonial empires were created by Phoenicians, the Greeks, the Romans and the Carthaginians. The Indians and the Chinese, the Arabs and the Turks all had colonies. But the facts which distinguished modern colonialism from the earlier forms of colonialism are:

- Modern colonialism was basically a European phenomena.
- The colonies have all been far from homeland.
- The colonies were inhabited by populations different from their conquerors in both culture and race.

Modern colonialism got a spurt of life in the nineteenth century due to the industrial revolution in Europe that induced the European states to search for new markets for their products. The best opportunities were held out by the Third World countries. Therefore, subjugation of the Third World countries became the primary aim of the European states and these often led to inter-imperialistic wars like Anglo–French rivalry in India, France–Germany conflict over Morocco, Anglo–French rivalry over Sudan, France–Germany conflict over Congo, and so on. Nevertheless, a pattern of colonial relationships, one that was of domination and subjugation, was created when the European nations established and maintained their sway over geographically external political units inhabited by different people.

Primary motives behind imperialistic policies arise from a state's political motives, which may be aimed at increasing national power. Spain, Britain and France setup colonies because it added to their power and prestige. Imperialistic policy may also be pursued for national defence as is reflected in the United States' acquisitions of